Supply agreement
for goods and services

Between

SPIKATECH c/ Alcalá de Guadaira, nº 6. 6ºA derecha. 28028 Madrid, represented by the sole Administrator **Mr. Carlos Zúñiga**,

hereinafter **"Principal"**

and

Born GmbH, Poststraße 4, 37351 Dingelstädt, represented by the Managing Director **Mr. Michael Schneider**

hereafter **"Contractor"**

The Contractor and the Principal are hereinafter also referred to jointly as the **"Parties" and** individually as a **"Party".**

Preamble

The Principal is a research centre for information and telecommunications technologies for Deep Tech which, among others, develops, produces and distributes textile products in the areas of lifestyle and smart textiles, as well as in medicine and fashion.

The contractor has many years of experience in the development of textiles of all kinds, especially knitted products. One of the focal points of the development activities is the integration of electrically conductive elements. The Principal develops, produces and distributes smart textile products, in the fields of application of fitness and health, in particular electrostimulation and sensoric devices, as well as supplementary products and services for medical electrical stimulation and sensoring.

The parties intend to establish a long-term cooperation.

Having said this, the Parties agree as follows:

§ 1 Subject matter of the contract

1.1. The object of this contract is the joint development and production, stockpiling and delivery by the Contractor of contractual products pursuant to § 2 of this contract, which are commissioned by the Principal on the basis of individual orders.

1.2. This contract governs the legal relationships between the Principal and the Contractor and applies to all individual contracts for the contractual products.

1.3. During the term of the contract, the Contractor shall not supply or otherwise make available the contractual products to third parties, in particular not to competitors of the Principal, without the Principal's prior consent in text form.

§ 2 Contractual products

2.1. The Contractor undertakes to supply the Principal with the textile contract products listed in **Annex 1** ("Contract **Products"**) in accordance with the Principal's individual orders pursuant to § 4 of this Contract.

2.2. The Contractor shall manufacture the Contract Products in the design as described in the specifications in **Annex 1 to** this Contract.

§ 3 Components of the contract

The following shall be deemed to be parts of the contract:

3.1 the Principal's currently valid Terms of Reference (current version in **Annex 1**)

3.2 the Contractor's currently valid prescriptive sheet (current version in **Annex 2**)

3.3 the list of production resources made available to the Contractor (**Annex 3**)

3.4 the quality assurance agreement (**Annex 4**)

3.5 the current template for individual commissioning (**Annex 5**)

§ 4 Type and scope of services and delivery processing

4.1 The Principal shall place individual orders in text form with the Contractor in accordance with its requirements for contractual products. Orders may initially be placed in writing as defined in **Annex 5.**

4.2 The Principal's individual orders shall contain at least the article designation, the production/delivery quantity, the specified delivery dates and the desired delivery location within the European Union. The Principal shall also have the right to order quantities of contractual products specified by it for delivery on specific delivery dates specified in the individual order.

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4.3 Orders of the Principal require the order confirmation of the Contractor in text form (template see Annex 5). The Contractor undertakes to confirm the individual order in text form without delay, but at the latest within five (5) working days after receipt of the individual order.

4.4 The present contract does not give rise to a claim by the contractor for the call-off of a specific annual quantity. However, it is intended that after completion of an assumed annual planning (forecast) of quantities, this will be forwarded to the Contractor.

4.5 The Contractor undertakes to perform the services to be rendered under this contract in a professional manner.

§ 5 Delivery terms

5.1 The delivery date is the delivery date specified in the respective individual order and confirmed in the order confirmation.

5.2 Delivery and transfer of risk shall take place" Ex-Works" DAP (Incoterms 2020). The respective place of destination shall also be the place of performance. If the individual order does not specify a place of delivery and performance, the headquarters of Born GmbH, Poststraße 4, 37351 Dingelstädt, shall be deemed to be the place of delivery and performance of the contractual services.

5.3 If the Contractor ships the goods to the Principal with the help of third party transport companies, the Contractor shall bear the risk of deterioration or loss of the goods.

5.4 The Contractor shall pack the contractual products with the care of a prudent businessman and bear the costs thereof.

5.5 The use of subcontractors requires the prior written consent of the Principal.

§ 6 Incoming goods inspection

6.1 The Principal undertakes to inspect the delivered contractual products after receipt of the goods for obvious transport damage as well as quantity and identity deviations. Defects recognisable in this context must be reported to the contractor within seven (7) working days after delivery.

6.2 If a defect becomes apparent at a later date which could not be detected by the Principal's initial inspection upon receipt of the goods (hidden defect), the Principal shall notify the Contractor in writing of the hidden defect within thirty (30) working days of becoming aware of it. The timely dispatch of the notice of defect shall be sufficient to preserve the rights of the Principal.

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§ 7 Quality

7.1. All contractual products must comply with the performance description and specification set out in **Annex 1**, the quality requirements set out in the Quality Agreement in **Annex 4** as well as the state of the art, be free from impurities and suitable for the contractually required use and be free from material and production defects.

7.2. During the term of the contract, the Contractor shall maintain a quality assurance system for the production of the contractual products, which is specified in more detail in **Annex 4** and which complies with the requirements of DIN EN ISO 9001:2015.

§ 8 Costs, remuneration and terms of payment

8.1. The prices of the contractual products are set out in **Annex 2.** The prices are net prices without any applicable value added tax.

8.2. Price changes due to changes in the contractual products or due to changes in the requirements for the contractual products shall be negotiated and determined by the parties after joint cost analysis.

8.3. Payments made shall not constitute recognition of the delivery as being in accordance with the contract.

§ 9 Force majeure

Serious events, in particular force majeure, industrial disputes, riots, war or terrorist conflicts, which entail unforeseeable consequences for the performance of services, shall release the parties from their performance obligations for the duration of the disruption and to the extent of its effect, even if they should be in default. An automatic termination of the contract is not associated with this. The parties undertake to notify each other of any such impediment immediately after becoming aware of it and to adjust their obligations to the changed circumstances in good faith.

§ 10 Claims for defects and liability

10.1. The Contractor warrants that the Contract Products comply with the requirements set out in § 7 of this Contract.

10.2. The Principal may - irrespective of the severity of the defect - demand replacement delivery of a defect-free item in the event of defects in the contractual products. In this case, the contractor is obliged to bear all expenses incurred in connection with the replacement delivery.

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10.3. In all other respects, the rights of the Principal shall be determined in accordance with the statutory provisions.

10.4. The Contractor shall be liable in accordance with the statutory provisions, whereby the Contractor shall be liable for its sub-suppliers and other subcontractors as for its own fault.

10.5. The Contractor is obliged to indemnify the Principal against all claims for damages by third parties to the extent that these are based on a defect in the contractual products or another breach of duty by the Contractor. This applies in particular in the event of injury to life, limb, health and property of third parties. Furthermore, the contractor shall bear all costs for the defence against risks to life, limb, health and property of third parties emanating from the contractual products. Further legal claims, in particular those arising from the Product Liability Act, shall remain unaffected.

10.6. During the term of this contract and for a period of five (5) years after the last delivery, the Contractor undertakes to take out product liability insurance with appropriate cover, but at least EUR 5 million per claim and per calendar year.

§ 11 Third-party property rights

The Contractor warrants that the contractual products delivered by it pursuant to § 2 of this contract do not infringe any patent, trademark, design or other industrial property rights of third parties in countries of the European Union or other countries in which it manufactures the products or has them manufactured . Excluded from this are products which are provided by the Principal as a service. The Contractor is obliged to indemnify the Principal against all claims made by third parties against the Principal due to the infringement of industrial property rights and to reimburse the Principal for all necessary expenses as a result of and/or in connection with this claim. This shall not apply insofar as the Contractor proves that it is neither responsible for the infringement of industrial property rights nor should have been aware of the infringement at the time of delivery if it had exercised due commercial care.
Further legal claims of the Principal due to defects of title of the contractual products delivered to it shall remain unaffected.

§ 12 Confidentiality

The contractor undertakes not to divulge, under any circumstances, any pre-existing knowledge of the Principal to which it may have had access during the contract, unless this information is in the public domain. Both parties undertake to ensure that all personnel involved in the execution of the contract are aware of and comply with the confidentiality commitment governed by this clause.

The results obtained during the execution of the contract shall be completely confidential. Any action to disseminate the results must be previously and expressly authorised in writing by the Company.

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§ 13 Ownership of the results

The Principal shall be the owner of the results obtained during the execution of the assignment. The Principal shall decide on the exploitation of the results in accordance with its interests.

Insofar as the results obtained are subject to legal protection by patent or other industrial or intellectual property rights, only the Principal may apply for the corresponding protection titles.

§ 14 Limitation

The statutory limitation periods shall apply.

§ 15 Term of Contract / Termination

15.1 The contract shall enter into force upon signature by both parties.

15.2 The contract runs for an indefinite period and can be terminated by either party with nine (9) months' written notice. However, the Contractor shall support the Principal in ensuring that the transition to an alternative contractual partner runs smoothly with regard to a possible certification or similar.

15.3 The right to extraordinary termination in the event of good cause for termination shall remain unaffected. An important reason for termination exists in particular,

a. in the event of repeated delivery of contractual products that do not comply with the requirements of § 7;
b. in the event of repeated non-compliance with binding delivery dates;
c. in the event of a breach of material contractual obligations
d. in the event of a breach of the duty of confidentiality pursuant to § 13 of the contract
e. in the event of a significant disagreement between the parties concerning the design and implementation of an individual contract, as a result of which further cooperation is no longer reasonable
f. in the event of a material change in the ownership or management of the other party which gives rise to fears of a material impairment of the interests of the terminating party. In any case, the other party shall immediately report any changes in the ownership or management relationship in writing;
g. in the event of the opening of insolvency proceedings against the assets of the Contractor or the rejection thereof for lack of assets or the filing of an insolvency petition.

Otherwise, Section 314 of the German Civil Code (BGB) shall apply with the proviso that a warning must be given at least in text form in order to have legal effect.

15.4 The notice of termination must be in writing to be effective.

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15.5 In the event of termination of the contract, the individual contracts already concluded during the term of this contract shall remain in force, unless the termination is for an important reason for which the other party is responsible. The provisions of this contract shall continue to apply to these individual contracts.

§ 16 Declarations and notifications

16.1 All declarations and other notifications in connection with this contract must be made in writing in order to be effective and must be sent in person, by registered mail, by courier or by electronic communication to the recipients specified below:

16.2 In the case of declarations and notifications to the Principal:

Address:	c/ Alcalá de Guadaira, nº 6. 6º A derecha. 28018 Madrid (Spain)
Tel.:	+34 676 367 467
E-mail:	carlosz@spikatech.com
Attn.	Carlos Zúñiga

16.3 In the case of declarations and notifications to the Contractor:

Address:	Born GmbH, Poststraße 4, D-37351 Dingelstädt
Tel.:	0170 / 92 600 52
E-mail:	michael.schneider@born-germany.de
Attn:	Michael Schneider

or to a recipient or other address previously notified in writing to one party by the other party.

§ 17 Final provisions

17.1 This contract and its interpretation shall be governed by the laws of the Federal Republic of Germany, excluding the UN Convention on Contracts for the International Sale of Goods (CISG).

17.2 If provisions of this contract conflict with provisions from the individual contracts including their annexes or the general terms and conditions of the parties, the following hierarchy of standards shall apply:
Provisions in individual contracts or their annexes take precedence over the provisions of this contract.
This contract takes precedence over the general terms and conditions of the parties.
To the extent that the Annexes to this Agreement, in particular the Quality Assurance Agreement in **Annex 4, conflict with the** provisions of this Agreement, the provisions of this Agreement shall prevail over the Annexes.

17.3 The exclusive place of jurisdiction for all disputes concerning rights and obligations arising from and in connection with this contract as well as the individual contracts

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resulting on its basis, including effectiveness, shall be Göttingen. However, the Principal is also entitled to assert claims at the Contractor's registered office.

17.4 The annexes to this contract are an integral part of the contract. There are no ancillary agreements. Amendments or supplements to this contract must be made in writing to be effective. This also applies to the amendment of the written form requirement itself.

17.5 Should one or more provisions of this contract be or become invalid or void in whole or in part, or should this contract contain a loophole, the validity of the remaining provisions of this contract shall remain unaffected.

Dingelstädt 17/01/25

Place, date

Firmado por ***8264** CARLOS ZUÑIGA (R: ****8690*) el día 14/01/2025 con un certificado emitido por AC Representación

Place, date

BORN KNITWEAR FOR FASHION & ENGINEERING
Born GmbH Poststraße 4 | 37351 Dingelstädt
Tel. (036075) 50 50 Fax (036075) 5 06 66

SpikaTECH
Represented by **Mr Carlos Zúñiga**

Born GmbH
represented by **Mr Michael Schneider**

Annex 1	Terms of reference of the contracting authority
Annex 2	Price sheet of the contractor
Annex 3	Fabrication equipment
Annex 4	Quality assurance agreement
Annex 5	Template for individual assignment